

FIRST NATIONAL BANK

KYC & AML Compliance Policy (With Embedded Image Content — OCR Test Edition)

Policy Reference: FNB-COMP-001-OCR

Version: 3.2 (Image Edition)

Effective Date: January 1, 2025

Owner: Chief Compliance Officer

NOTE: Key tables and process diagrams in this document are embedded as IMAGES. This edition is designed to test OCR-based text extraction.

1. Purpose and Scope

This policy establishes the framework for First National Bank's KYC and AML compliance programme. It sets out the obligations of all staff in preventing, detecting, and reporting money laundering, terrorist financing, and other financial crimes.

This policy applies to all employees, contractors, agents, and third-party service providers across all business units, branches, and subsidiaries in every jurisdiction where FNB operates.

2. Customer Due Diligence (CDD) — Risk Matrix

Customer Due Diligence is the process of identifying and verifying customer identity. The table below (rendered as an image) shows the risk categories and review requirements:

Customer Due Diligence (CDD) — Risk Category Matrix			
Risk Level	Customer Type	Review Cycle	Approving Authority
LOW	Salaried individuals, small retail accounts	Every 5 years	Relationship Manager
MEDIUM	SMEs, sole proprietors, non-profit organisations	Every 3 years	Branch Compliance Officer
HIGH	PEPs, offshore entities, cash-intensive business	Every 2 years	Head of Compliance
VERY HIGH	Correspondent banks, shell companies, sanctioned	Annually	Chief Compliance Officer

CDD must be performed at account opening and refreshed at the intervals shown above. High-risk and very-high-risk customers require senior management approval.

3. KYC Documentation Requirements

All individual customers must provide the following documents before an account can be opened. The requirements are summarised in the image below:

KYC Individual Customer Document Requirements		
Document Type	Accepted Forms	Validity
Photo Identity	Passport, National ID Driving Licence, Voter ID	Must not be expired
Proof of Address	Utility bill, Bank statement Lease agreement	Within last 3 months
Date of Birth	Passport, Birth certificate National ID	Not applicable
Source of Income	3 months salary slips, ITR Employment letter	Within last 3 months
Photograph	Recent passport-sized photograph	Taken within 6 months
Tax Identification	PAN card, SSN TIN (jurisdiction applicable)	Current

Documents must be current and legible. Certified copies must be attested by an authorised officer. Corporate customers must additionally provide Certificate of Incorporation, Board resolution, and audited financial statements for the last 2 years.

4. Transaction Monitoring — Reporting Thresholds

All transactions must be monitored for unusual patterns. The reporting thresholds that trigger mandatory action are shown in the image below:

AML Transaction Monitoring — Reporting Thresholds		
Transaction Type	Threshold	Action Required
Cash Deposit (single)	Above USD 10,000	File Currency Transaction Report (CTR)
Cash Deposit (structured)	Aggregated > USD 10,000 / 24hrs	Flag for structuring, file SAR
Domestic Wire Transfer	Above USD 50,000	Enhanced documentation required
International Wire Transfer	Above USD 25,000	SWIFT screening + EDD on beneficiary
Cash Withdrawal	Above USD 10,000	File CTR, verify purpose
Foreign Currency Exchange	Above USD 3,000	Record customer ID and purpose
Virtual Asset Transactions	Any amount	Enhanced screening, mgmt approval

All TMS alerts must be reviewed and resolved within 5 business days. Structuring of transactions below reporting thresholds (smurfing) is itself a red flag and must be reported.

5. Suspicious Activity Reporting (SAR)

All employees must report suspicious activity to the MLRO immediately without tipping off the customer. The 6-step SAR filing process is shown in the diagram below:

Suspicious Activity Report (SAR) — 6-Step Filing Process

STEP 1

IDENTIFY

Employee spots suspicious activity and documents the observation

STEP 2

REPORT INTERNALLY

File Internal SAR (ISAR) to MLRO within 24 hours

STEP 3

MLRO REVIEW

MLRO reviews ISAR within 48 hours and decides on external SAR

STEP 4

FILE SAR

Submit SAR to FIU / FinCEN within 7 business days

STEP 5

DOCUMENT

Record all decisions with rationale
Retain for minimum 5 years

STEP 6

NO TIPPING OFF

NEVER inform the customer that a SAR has been filed

The tipping-off prohibition is absolute. Any employee who informs a customer that a SAR has been or may be filed commits a criminal offence.

6. Record Keeping — Retention Schedule

FNB must maintain comprehensive records available for regulatory inspection at any time. The retention schedule is shown in the image below:

Record Keeping — Retention Schedule		
Record Type	Retention Period	Storage
Customer KYC documents	5 years after relationship ends	Secure digital + physical
Transaction records	5 years from transaction date	Core banking system
SAR filings (internal/external)	7 years	Compliance system (restricted)
Sanctions screening results	5 years	TMS / Compliance system
Training records	3 years	HR system
AML investigation files	7 years	Compliance system
CTR / Large cash reports	5 years	Regulatory reporting system
Account opening forms	5 years after account closure	Digital document management

Records must be stored securely and protected from unauthorised access. SAR filings and AML investigation files must be retained for 7 years — longer than standard KYC records.

7. Penalties and Enforcement

Non-compliance with this policy exposes both the bank and individual employees to severe regulatory, civil, and criminal penalties. The penalty notice below is embedded as an image:

⚠️ NON-COMPLIANCE PENALTY NOTICE ⚠️

REGULATORY PENALTIES:

- Fines up to USD 1,000,000 per violation (or twice the transaction amount)
- Suspension or revocation of banking licence
- Mandatory appointment of external compliance monitor
- Public enforcement action and permanent reputational damage

INDIVIDUAL EMPLOYEE CONSEQUENCES:

- Criminal prosecution — up to 20 years imprisonment
- Personal fines up to USD 500,000
- Immediate termination of employment
- Lifetime ban from financial services industry

WHISTLEBLOWER HOTLINE: 1800-FNB-COMP | compliance@fnb.com

Employees who report AML violations in good faith are protected under the Whistleblower Protection Policy. Reports can be made anonymously.